Ethics, Governance and Risk Note on TradeSentinel

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Likelihood and impact are the author's judgement before pilot data exists, on a scale of low, medium and high.

1. Risk Register

ID	Risk	Likelihood	Impact	Control	Evidence or trigger	Owner
R1	Understated critical report under-triaged	High	High	Floors; new no-outcome rule (to test); seeded test cases; SME check	Holdout miss H68	Product and SME
R2	Bias against certain wording or client size	Medium	High	Fairness test by style and client size; no tier feature in severity	Any material recall gap	Risk
R3	Client data leaves approved boundary	Low	High	Masking; private route; no-training contract; retention limits	Any masking failure	Security
R4	Invented cause in client update	Medium	High	Citations; placeholders; Send lock; edits logged; approval	Any uncited send	Support lead
R5	Prompt injection via ticket text	Medium	Medium	Text treated as data; rules outside the model; injection tests	Any behaviour change in tests	Engineering
R6	Gaming with "urgent" language	Medium	Low	Floors do not depend on such words; monitor by client	Unusual pattern by client	Support lead
R7	Rubber-stamp approvals	High	High	L1 without pre-fill; review time tracking; sampling; seeded errors	Review time falls, errors do not	Support lead
R8	Drift in volatile markets	High	Medium	Rule floors do not drift; monitor by market regime	Metric drop in stress periods	Product
R9	Overload of SMEs	Medium	Medium	Agreed ceiling on the share sent to SMEs; track the SME queue; tune the threshold with evidence	34.3% sent to SME check in test	Operations
R10	Skill erosion among engineers	Medium	Medium	Rotations without AI; drills	Drill results	Support lead
R11	API outage during market stress	Medium	High	Manual fallback; rules run locally	Timeouts	Engineering
R12	Unclear accountability for errors	Medium	High	Written policy: decisions and system limits have named owners; blameless review	Any disputed incident	Risk

2. Harm Scenarios

Who	How harm occurs	Main defence
Retail or smaller client	Polite message about a failed execution waits in a low-priority queue while the market moves	Floors, no-outcome rule, fairness test
Many clients	An incident update states a wrong cause and clients act on it	Citations and human approval
Support engineer	Held responsible for an AI error presented with false confidence	Visible doubt; accountability policy
Firm and market	A reportable event is under-classified and cannot be reconstructed	Audit log; S1 review

3. Launch Checklist

Area	Must be true before going live at each level	Sign-off
Review	Gate report completed; samples audited by an SME	Operations
Rollback	Category level can be lowered in under five minutes by the on-shift lead; tested in a drill	Engineering
Escalation	Path documented and rehearsed; security route tested	Operations
Data	Masking verified; contract signed; retention set	Security, Legal
Fairness	Test by style and client size completed, with no material gap	Risk
Audit	Full decision record can be retrieved for any ticket	Compliance
Training	Engineers know what the system cannot do and how to override it	Support lead

4. Launch Blockers

- Any S1 called below S2, or critical issue below the escalation line, in shadow mode without a tested fix.
- Client data cannot be masked or protected by contract.
- Any client update can be sent with an uncited cause.
- Material fairness gap in critical recall.
- Review time collapses without a matching fall in errors.
- Operations or risk declines to sign off.

5. Governance Note

This note does not make legal or regulatory claims. Which incidents are reportable, what records must be kept, and what is required of AI in a regulated trading firm must be confirmed with the firm’s compliance team during Phase 0.